

dissect them. We recommend that the buyer of high-grade railroad bonds confine his quantitative study to the coverage of fixed charges (with due attention to the trend of earnings and the adequacy of maintenance expenditures) and to the amount of the stock equity. If he desires to be particularly careful, he will probably be better advised to *increase* his minimum requirements on these two points, rather than to extend his statistical tests to numerous other features of the annual reports.

It may make our viewpoint clearer if we add that such elaborate analyses may at times be of real value to the purchaser of *speculative* railroad bonds or stocks, as aids to his judgment of what the future will bring. But the whole *raison d'être* of *fixed-value* investment is opposed to any *primary* reliance upon surmises as to the future, since the field for exercising such judgment must logically be among those issues which offer possibilities of gain as a reward for being right, commensurate with the penalties attached to being wrong.

Technical Aspects of Railroad-Income Analysis. The application of the interest-coverage test to railroad bonds involves a few technical questions which require attention. Railways have various kinds of fixed charges which are obligations equivalent to bond interest and which clearly should be included with such interest in calculating the margin of safety. There are also certain deductions which partake to some extent of the nature of fixed charges and to some extent also of operating expenses. Furthermore, there are credits designated as “other income,” such as bond interest received, which may properly be considered as offset to interest paid—at least for the purpose of comparison with other roads. In the following schedule we allocate the more important items of this character that are encountered in railroad statements.

1. Bond interest and equivalent charges.
 - a. Interest on funded and unfunded debt.
 - b. Rent for leased lines.
 - c. Joint-facility rents (net debit).
2. Deductions midway between fixed charges and operating expense.
 - a. Hire of equipment (net debit).²
 - b. Miscellaneous rents and miscellaneous deductions.

² Since Jan. 1, 1936, the I.C.C. definition of “fixed charges” for the purposes of railroad-income accounts has included rent paid for the use of equipment. But this definition is not followed, as yet, in the calculation of fixed-charge coverage by the financial manuals and services.